

Yearly position, performance. Mapping performance over the yearly price range, we find that the best performing BARRs are those with breakouts near the yearly high. Those are the ones in which you want to trade. The closer the breakout price is to the yearly low, the worse the performance. This finding suggests BARR bottoms make for delicious momentum trades (avoid bottom fishing BARRs).

Throwbacks. Over half the patterns throw back. The stocks trend upward for about a week before returning to the breakout price in a roundtrip time of 11 to 13 days.

Table 14.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% up	100% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 51%, M 54%, H 60%	L 33%, M 35%, H 37%
Throwbacks occurrence	61%	69%
Average time to throwback peaks	5% in 7 days	6% in 6 days
Average time to throwback ends	13 days	11 days
Average rise for patterns with throwbacks	53%	32%
Average rise for patterns without throwbacks	58%	41%
Percentage price resumes trend	86%	77%
Performance with breakout day gap	57%	36%
Performance without breakout day gap	55%	34%
Average gap size	\$0.37	\$0.22
Number of dual bumps	12%	11%

As with many other chart pattern types, throwbacks hurts performance. After a throwback completes, the stock resumes the upward trend a good portion of the time (more than 77% of the time).